



Qualification Programme Examination Panelists' Report

Module 12 – Business Finance (June 2023 Session)

(The main purpose of the following report is to summarise candidates' common weaknesses and make recommendations to help future candidates improve their performance in the examination.)

(I) Section A – Case Questions

General Comments

Overall performance in this section was unsatisfactory. Candidates demonstrated weak performance in calculation of free cash flow to the firm (FCFF) and in application of theories and frameworks, such as the Ansoff matrix, the AAA model, and financial restructuring approaches to solve corporate finance problems. Candidates are strongly advised to read the case and question requirements carefully before answering questions. Merely copying materials from the learning pack without application to the specific case information should be avoided. Candidates should also manage their time wisely so that they can complete all examination questions in a timely manner.

Specific Comments

Question 1 – 10 marks

This question required candidates to act as the general manager of the CAR division and write a memo to the Board of Directors to formulate business growth strategies, such as market penetration, product development, market development, and diversification, to improve profitability and future growth of CAR's branding and business.

Candidate performance on this question was satisfactory.

Many candidates correctly applied the Ansoff matrix in answering this question. Some candidates failed to understand the question and incorrectly used other strategic models in their answers. Only a few candidates evaluated the risk of each strategy. Most candidates used the correct format and content to prepare the memo. Unfortunately, several candidates simply copied information from the learning pack in their answers without explanation or evaluation.

Question 2 – 15 marks

This question required candidates to act as a financial consultant to identify and evaluate the financial reconstruction approaches that are available to the Group and then to recommend and justify one appropriate approach to restructure the CAR division.



Performance on this question was unsatisfactory.

Most candidates understood the question requirement but appear to have been confused by the various financial restructuring approaches and how they could be used to help the Group find investors and recover the investment. Only a few candidates suggested Management Buyout, Management Buy-in, and Leverage Buyout, which indicated that most candidates were not familiar with these methods. A number of candidates duplicated the equity carve-out and divestment approaches in their answers. Some candidates simply copied information from the learning pack without analysis and application, demonstrating poor technical knowledge in this area. Only a few candidates considered the pros and cons of each financial reconstruction approach in response to the specific case information.

Question 3 – 10 marks

This question required candidates to identify and address ethical dilemmas about the financial reconstruction of the CAR division.

Performance on this question was unsatisfactory.

Most candidates disregarded or were unaware of the fact that Peter was a CPA in business who should follow HKICPA's Codes of Ethics for Professional Accountants in Business. Many candidates followed the AAA model in their answer, but many also failed to identify the key ethical dilemmas in the case. Most candidates mentioned the potential breach of integrity and objectivity, but professional competence and due care were irrelevant. Most candidates simply copied definitions of potential threats from the learning pack without applying them in a manner that would help solve the ethical dilemmas.

Question 4 – 15 marks

This question required candidates to evaluate the free cash flow to the firm (FCFF) of the CAR division in 2021 and to use the most appropriate valuation method, with justification, to determine the value of the CAR division.

Performance on this question was unsatisfactory.

The question was straightforward and asked candidates to use the FCFF method to assess equity value. However, most candidates did not know how to use the FCFF method, and some used other methods to value the equity. Some candidates appear to have been unable to calculate the change in working capital, terminal value, enterprise value, value of equity, or other simple arithmetic figures. In addition, some calculation formats were unclear; thus, candidates are reminded to utilise orderly calculation formats.



(II) Section B – Essay/Short Questions

General Comments

Overall performance in this section was unsatisfactory. Candidates performed slightly better in calculations; however, they were weak in demonstrating sound analytical skills to support decision making. Moreover, candidates were very weak in applying their knowledge to provide advice with reference to the specific case background.

Specific Comments

Question 5(a) – 6 marks

This question required candidates to calculate the cash conversion cycle in days for the years 2021 and 2022.

Performance on this question was satisfactory.

Candidates generally performed well and demonstrated a strong understanding of the question requirements. Most candidates were able to calculate the correct answers, though a few candidates used the wrong figure for payable days for their calculations.

Question 5(b) – 3 marks

This question required candidates to calculate the maximum early settlement discount that can be offered.

Performance on this question was poor.

Only a very small number of candidates were able to calculate the maximum settlement discount that can be offered by referring to the cost of capital of the company and the impact of the receivables turnover days. Candidates generally demonstrated weak understanding of this concept.

Question 5(c) – 2 marks

This question required candidates to analyse the impacts of the consignment model to cash conversion cycle in days without calculation.

Performance on this question was satisfactory.

Most candidates understood the implications of consignment on accounts receivables; however, most were unable to identify the implications on inventories, which indicated that candidates' technical knowledge in this area needs further improvement.



Question 5(d) – 5 marks

This question required candidates to advise on the advantages, disadvantages, and considerations related to working capital management of implementing the consignment model.

Performance on this question was poor.

The advice provided by candidates was very general and was provided without application to the given case background. Candidates focused their discussions on the advantages and disadvantages of changing days sales outstanding, as well as other implications of working capital, without considering the implications of converting their business model to consignment. For example, only a small number of candidates mentioned the increase in insurance cost for their consignment inventories. Candidates thus demonstrated poor concepts and business acumen in this area.

Question 6(a) – 3 marks

This question required candidates to calculate the carbon intensities for both years.

Performance on this question was satisfactory.

Most candidates were able to correctly calculate the answers for the carbon intensity calculations.

Question 6(b) – 9 marks

This question required candidates to advise on the points required to be covered in the mandatory disclosures of the emission section (Environmental) of their ESG report.

Performance on this question was unsatisfactory.

Candidates copied from the learning materials without addressing the question requirement about the emission section of the ESG report and failed to cover relevant discussion points. Some candidates provided general principles about ESG without connecting their discussion to carbon emissions.



Question 6(c) – 6 marks

This question required candidates to advise the Company on the disclosure and reporting requirements of issuing of a green bond by referring to the four pillars of Green Bond Principles.

Performance on this question was satisfactory.

Many candidates performed quite well and were able to address the question requirements. However, some candidates did not address the question requirements properly and discussed irrelevant concepts, such as general principles instead of the four pillars. Additionally, some candidates copied the definition without applying the four pillars to the case.

Question 7(a) – 8 marks

This question required candidates to advise the Company on the areas under the respective regulatory framework for business combination that are to be considered prior to their acquisition plan.

Performance on this question was poor.

Some candidates did not consider the background of the case, which referred to a private company, and provided a discussion applicable to listed companies, which is irrelevant. Most candidates failed to apply the case information on Hong Kong and mainland China operations and the market, and were unable to address the cross-border acquisition legal issues. Only a small number of candidates were able to point out competition or anti-trust law. Many candidates answered listing rules, as well as SFC takeover code and ten general principles, and focused their discussion on due diligence, which did not address the given case or the question requirements.

Question 7(b) – 8 marks

This question required candidates to advise the Company on the respective regulatory framework for business combination by acquiring an existing listed Company in Hong Kong with minimal operations.

Performance on this question was poor.

Most candidates were unable to achieve better performance as they narrowed their discussion to listing rules and the financial requirements for listing. Many candidates simply provided the steps of listing, which is irrelevant. Most candidates failed to address the key issue of reverse takeover, demonstrating a lack of understand and weak technical knowledge.



(III) Conclusion and Recommendation

Section A

Overall, the performance of the candidates was unsatisfactory. To better answer the questions, candidates should be familiar with technical and practical knowledge, such as FCFF calculations, the Ansoff matrix, and the AAA model, and apply them carefully to solve questions with the specific case information. Again, merely copying materials from learning packs without applying the information to the specific case materials in answers is not suggested. Candidates should also improve their time management skills so they can complete all questions in the examination. Additionally, candidates should practice using past examination papers to strengthen the analytical and writing skills that are essential in Module 12 examinations.

Section B

Candidates were weak in demonstrating sound analytical skills to support decision making, and they did not address the correct issues and provided generic comments from some of the previously examined topics, which were irrelevant. Candidates are suggested to prepare better and build up solid technical knowledge on top of a general understanding of various topics. They are suggested to address the question properly by understanding the issues and respective areas prior to answering the question. They are also suggested to strengthen their skills in applying their knowledge to provide advice in cases with specific backgrounds.